

Revision

Finance and Management and Costing

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- a) Management Information System
- b) Management by Objectives
- c) Transactional Management
- d) Systematic management
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- b) Espirit de corps
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- d) Gantt chart
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Q. Which of the following management principle proposed by Henry Fayol relates to “one plan for a group of activities”?

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- b) Unity of Direction
- c) Equity
- d) Centralisation
- e) Specialisation

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- b) Span of control
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Span of Control means the number of subordinates that can be managed efficiently and effectively by a superior in an organization. It suggests how the relations are designed between a superior and a subordinate in an organization

Q. In what order do managers typically perform the managerial functions?

- A. planning, organising, controlling, leading
- B. planning, organising, leading, controlling
- C. organising, planning, controlling, leading
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- B. Opportunity
- C. Operation
- D. Organisation
- E. Outsource

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SWOT analysis is a strategic planning technique used to help a person or organization identify **strengths, weaknesses, opportunities, and threats**

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- b) Concurrent control
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- e) Statutory Control

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- a) Planning
- b) Controlling
- c) Directing
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4 important aspects of Directing function:

- Supervision
- Motivation
- Leadership
- communication

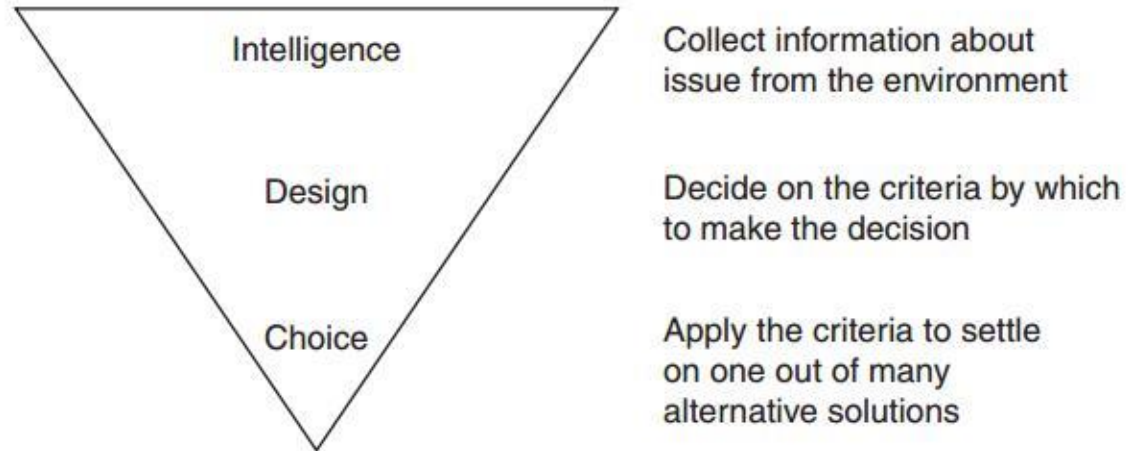
Q. The three stages of decision making of intelligence gathering, design and choice, was given by _____

- a) Kurt Lewin
- b) Henry Mintzberg
- c) Herbert Simon
- d) Edward Deming
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Herbert Simon, the Nobel Prize winning researcher, showed that humans went through three essential stages in the act of problem solving and decision making. He called these the Intelligence, Design, and Choice stages.

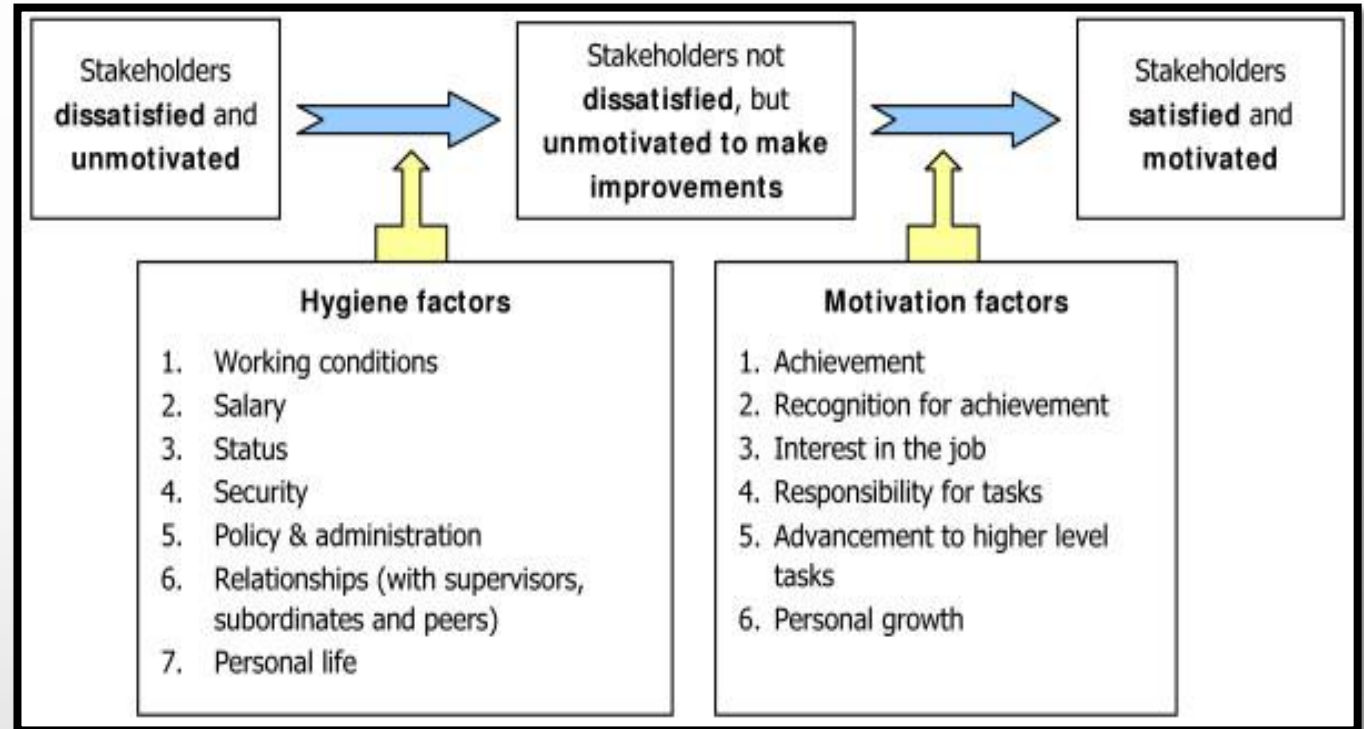


Q. Which of the following is not a motivator as per Herzberg?

- a) Responsibility
- b) Recognition
- c) Interpersonal relations
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- A. Push and pull effect
- B. Carrot and stick approach
- C. Two factor method
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Carrot and stick approach is a motivational **approach** that involves offering a “**carrot**” (a reward—for good behavior) and a “**stick**” (a negative consequence for poor behavior)

Q. In the above case, when the carrot and stick approach is being used, which of the following leadership style is likely being used?

- A. Transformational
- B. Transactional
- C. Democratic
- D. Participative
- E. Bureaucratic

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In transactional leadership style, the leader believes in motivating through a system of rewards and punishment.

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- a) Employs clear chain of command
- b) Lead with vision
- c) Motivates team by rewards and punishment
- d) Follow instructions
- e) Resistance to change

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In transformational leadership, leaders motivate employees and enhance productivity and efficiency through communication and high visibility; they are good at balancing short-term visions and long term goals.

Transformational leaders set a realistic and achievable vision for the organization. They then communicate the vision effectively to their followers, and also inspire a sense of commitment and purpose.

Q. In an organisation, how does lateral communication occur?

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- b) Information passes downwards
- c) Information passes diagonally
- d) Information passes between different departments and functions
- e) Information passes with no particular direction

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- B. A cost that cannot be avoided. regardless of what is done in the future
- C. That which we forgo, or give up, when we make a choice or a decision.
- D. The additional benefit of buying an additional unit of a product
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Q10. The costs that are notional costs which do not involve any cash outlay are referred to as which among the following?

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Q11. Which costing method uses the practice of charging all costs, both variable and fixed to operations, processes or products?

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Q16. If total cost of 100 units is Rs 5000 and those of 101 units is Rs 5030 then increase of Rs 30 in total cost is

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- B. Prime cost
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A product, process, department or a customer to which costs are assigned to, is known as:

1. Direct material cost
2. Indirect cost
3. Direct cost
4. Cost object
5. Direct Labour Cost

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The margin of safety is which among the following?

1. Fixed cost over expected sales
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Which among the following is true for preferred stock?

1. It has claim on assets prior to creditors on liquidation
2. Its dividends can be paid only after paying dividends to equity holders.
3. It has a usual maturity of 30 years
4. It has claim on assets prior to common holders on liquidation
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Q13. Fixed cost Rs.40,000, variable cost Rs.50,000, net profit is 10% on sales, find out the sales of the company.

- A. 100000
- B. 200000
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- E. 500000

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$$\begin{aligned}\text{Fixed cost} + \text{profit} &= \text{sales} - \text{variable cost} \\ 40,000 + 10\% \text{ of sales} &= \text{sales} - 50,000\end{aligned}$$

Q. What is meant by a Zero-coupon bond generally?

- a) Bonds that are issued at par and redeemed at discount
- b) Bonds that are issued at premium and redeemed at premium
- c) Bonds that are issued at discount and redeemed at par
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- b) RBI
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- a) Working capital
- b) Financial management
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Q. What will be the BEP in units when the sales price is Rs.40 per unit, fixed cost is Rs.60000 and the PV ratio is 40%?

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Question:

Which of the following best describes the approach which matches the manufacturing output to the market demand, in order to minimize inventories?

- ☐ Material resource planning (MRP)
- ☐ Kaizen
- ☐ Kanban
- ☐ JIT
- ☐ None of the above

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Ans. D

Just in Time (JIT), as the name suggests, is a management philosophy that calls for the production of what the customer wants, when they want it, in the quantities requested, where they want it, without it being delayed in inventory.

So instead of building large stocks of what you think the customer might want you only make exactly what the customer actually asks for when they ask for it. This allows you to concentrate your resources on only fulfilling what you are going to be paid for rather than building for stock.

Within a Just in Time manufacturing system, each process will only produce what the next process in sequence is calling for.

Q. The rights issue shares are offered at which of the following prices?

- A. Lower than the market price**
- B. Lower than face value
- C. At intrinsic value
- D. At market price
- E. At face value

Rights Issue is an invitation to existing shareholders to purchase additional new shares in the company at a discount to the market price on a stated future date.

Q. Which of the following is NOT an advantage of Bonus issue by a company?

- A. It helps the company to retain cash
- B. the company is able to offer more security to creditors
- C. the company can reduce high rate of dividend
- D. it helps the company to increase its net-worth
- E. All of the above are advantages

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Q. In case of a buyback, the company is required to transfer the nominal amount of buyback shares to which of the following reserve?

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- C. Reserve Capital
- D. Capital Redemption Reserve
- E. Securities Premium Reserve

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- B. 12%
- C. 15%
- D. 20%
- E. 25%

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Q. A buyback of up to what percentage of paid up capital and free reserves does NOT required to be passed by a special resolution?

- A. 5%
- B. 10%
- C. 15%
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a **buy back** up-to **10%** of the total **paid up capital and free reserves of the company** can be made simply by the **Board of Directors Resolution** and there is no need for the special resolution to be passed by the general meeting

Q. Eclipse Ltd wants to buyback 15% of its capital. The buyback needs to be approved by _____

- A. Board resolution
- B. Ordinary resolution
- C. Special resolution
- D. A or B
- E. A or C

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Q. As per Companies Act, 2013, the balance in Securities Premium account can be used for the following purposes except _____

- A. issue of fully paid bonus shares
- B. issue of Rights shares at a discount
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Securities Premium **can be used for:**

- issue of fully paid bonus shares
- to write off preliminary expenses
- write-off commission paid/discount on issue of shares or debentures
- for premium payable on redemption
- for buy-back of own shares or securities

Q. In which account is the amount of unpaid or unclaimed dividend transferred?

- a. Capital Redemption Account
- b. Dividend Redemption Reserve
- c. Scheduled Bank
- d. Unpaid Dividend Account
- e. None of the above

Ans. d. Unpaid Dividend Account

Section 124 (1) Where a dividend has been declared by a company but has ***not been paid or claimed within thirty days from the date of the declaration*** to any shareholder entitled to the payment of the dividend, the company shall, within seven days from the date of expiry of the said period of thirty days, ***transfer the total amount of dividend which remains unpaid or unclaimed to a special account to be opened*** by the company in that behalf in any scheduled bank to be called ***the Unpaid Dividend Account***

Q. What is the quantum of contribution required by the companies in the CSR activities?

- a. At least 12% of the average net profit
- b. At least 2% of the average net profit
- c. At least 22 % of the average net profit
- d. Net profit as the company may deem fit
- e. None of the above

Ans. b. At least 2% of the average net profit

Section 135 - The Board of every company referred to in sub-section (1), shall ensure that the company spends, in every financial year, ***at least two per cent of the average net profits*** of the company made during the three immediately preceding financial years, in pursuance of its Corporate Social Responsibility Policy.

Q. The activities amounting to CSR are specified in which schedule of the Companies Act?

- a. Schedule VII
- b. Schedule VI
- c. Schedule IV
- d. Schedule V
- e. None of the above

Ans. a. Schedule VII

Section 135(3) (a) - The Corporate Social Responsibility Committee shall formulate and recommend to the Board, a Corporate Social Responsibility Policy which shall indicate the activities to be undertaken by the company as ***specified in Schedule VII.***

Q. What is the time period within which the dividend including interim dividend be deposited in scheduled bank?

- a. 15 days
- b. 5 days
- c. 55 days
- d. 25 days
- e. None of the above

Ans. b. 5 days

Section 123 (4) The amount of the dividend, including interim dividend, shall be deposited in a scheduled bank in a separate account ***within five days from the date of declaration*** of such dividend.

Q. What is the time period within which if the amount transferred to unpaid dividend account remains unclaimed has to be transferred to the Investor Education & Protection Fund?

- a. 7 years
- b. 5 years
- c. 12 years
- d. As the Central Government may decide
- e. None of the above

Ans. a. 7 years,

Section 124 All shares in respect of which dividend has ***not been paid or claimed for seven consecutive years*** or more shall ***be transferred by the company in the name of Investor Education and Protection Fund*** along with a statement containing such details as may be prescribed

Q. What is the period for which the books of account of every company are to be preserved of the Companies Act?

- a. 18 years
- b. 28 years
- c. 15 years
- d. 8 years
- e. 5 years

Ans. d. 8 years

As per section 128 (5) every company must keep the ***books of account in good order*** together with the vouchers relevant to any entry in such books of accounts for a ***minimum of 8 financial years immediately preceding a financial year.***

Q. How can an Auditor of a company be removed before completion of term?

- a. Ordinary Resolution
- b. Special Resolution
- c. Ordinary Resolution with prior approval of Central Government
- d. Special Resolution with prior approval of Central Government
- e. None of the above

Ans. d. Special Resolution with prior approval of Central Government

Section 140 (1) The auditor appointed under section 139 may be removed from his office before the expiry of his term only ***by a special resolution of the company , after obtaining the previous approval of the Central Government*** in that behalf in the prescribed manner:

Q. Application for DIN is filed in Form _____

- a. DIR-1
- b. DIR-3
- c. DIR – 3A
- d. DIR – 2
- e. None of the above

Ans. b. DIR -3

Section 153 and 154 of Companies Act, 2013 application for DIN is to be filed in Form DIR -3.

Q. What is the validity of an allotted DIN?

- a. Lifetime
- b. 15 years
- c. 20 years
- d. Until qualified otherwise
- e. Only (b)

Ans. a. Lifetime

DIN is a unique 8-digit number allotted to a person who is appointed the director of a company. The validity for such a number is for a lifetime. He has to make an application in the Form DIR-3 (in case of an existing company) according to Section 153 and 154 of Companies Act, 2013.

Q. What is the time period for the notice of the general meeting of companies?

- a. 24 days
- b. 14 days
- c. 21 days
- d. 44 days
- e. None of the above

Ans. (c) 21 days,

Section 101(1) A general meeting of a company may be called by giving ***not less than clear twenty-one days' notice*** either in writing or through electronic mode in such manner as may be prescribed.

Q. Who has the power to call the Extra Ordinary General Meeting of the company?

- a. Members
- b. Chairman
- c. Company Secretary
- d. Board
- e. None of the above

Ans: (d) Board,

Section 100(1) The Board may, whenever it deems fit, call an extraordinary general meeting of the company .

Q. What is the total period of time for which at least one director of every company shall stay in India in the previous calendar year?

- a. 172
- b. 182
- c. 152
- d. 166
- e. None of the above

Ans. (b) 182,

Section 149 (3) every company shall have at least one director who has stayed in India for a total period of not less than one hundred and eighty-two days in the previous calendar year.

Q. What is the minimum number of directors required in Private Company?

- a. 3
- b. 4
- c. 2
- d. 5
- e. None of the above

Ans. (c) 2,

Section 149(1) of the Companies Act, 2013 requires that every company shall have a ***minimum number of 3 directors*** in the case of a ***public company***, ***2 directors in the case of a private company***, and ***one director in the case of a One Person Company***.

Q. A Prospectus which is issued for a period not exceeding 1 year as its period of validity is known as _____

- a. Red Herring Prospectus
- b. Shelf Prospectus
- c. Abridged Prospectus
- d. Both (a) & (b)
- e. None of the above

Ans. b. Shelf Prospectus,

Section 31(1) Any class or classes of companies, as the Securities and Exchange Board may provide by regulations in this behalf, **may file a shelf prospectus with the Registrar at the stage of the first offer of securities** included therein which shall **indicate a period not exceeding one year as the period of validity of such prospectus** which shall commence from the date of opening of the first offer of securities under that prospectus, and in respect of a second or subsequent offer of such securities issued during the period of validity of that prospectus, **no further prospectus is required.**

Q. For what purpose can the Securities Premium account balance not be used?

- a. Issue of Rights shares at a discount
- b. Issue of fully paid bonus shares
- c. To write off preliminary expenses
- d. All the above

Ans: a

Section 52 - when a company issues shares at a premium, whether for cash or otherwise, a sum equal to the aggregate amount of the premium received on those shares shall be transferred to a “securities premium account”. Securities Premium can be used for: ***issue of fully paid bonus shares, to write off preliminary expenses, write-off commission paid/discount on issue of shares or debentures, for premium payable on redemption, for buy-back of own shares or securities.***

Q. A company may issue fully paid-up bonus shares to its members, in any manner whatsoever, out of _____

- a. Its free reserves
- b. The securities premium account
- c. The capital redemption reserve account
- d. All the above
- e. None of the above

Ans. d. All the above,

Section 63(1) (1) A **company may issue fully paid-up bonus shares to its members**, in any manner whatsoever, **out of—** (i) its **free reserves**; (ii) the **securities premium account**; or (iii) the **capital redemption reserve account**.

Q. Who has the authority to declare dividends?

- a) Board committee
- b) Board of Directors
- c) Members
- d) Shareholders

Ans: b

When the board of directors makes such a decision and declares a dividend for payment to stockholders, the retained earnings account on the company's balance sheet is reduced by the amount of the declared dividend. The retained earnings is an account of equity that shows the net balance of a company's earnings

Q. In which account is the amount of unpaid or unclaimed dividend transferred?

- a. Capital Redemption Account
- b. Dividend Redemption Reserve
- c. Scheduled Bank
- d. Unpaid Dividend Account

Ans: d

Section 124 (1) Where a dividend has been declared by a company but has ***not been paid or claimed within thirty days from the date of the declaration*** to any shareholder entitled to the payment of the dividend, the company shall, within seven days from the date of expiry of the said period of thirty days, ***transfer the total amount of dividend which remains unpaid or unclaimed to a special account to be opened*** by the company in that behalf in any scheduled bank to be called ***the Unpaid Dividend Account***

Q. What is the period for which the books of account of every company are to be preserved of the Companies Act?

- a. 18 years
- b. 28 years
- c. 15 years
- d. 8 years

Ans: d

As per section 128 (5) every company must keep the ***books of account in good order*** together with the vouchers relevant to any entry in such books of accounts for a ***minimum of 8 financial years immediately preceding a financial year.***

Q. What is the minimum number of directors required in Private Company?

- a. 3
- b. 4
- c. 2
- d. 5

Ans: c

Maximum 15 directors		
(company may appoint more than 15 directors after passing a special resolution)		
Public Company - Minimum 3 directors	Private Company - Minimum 2 directors	One Person Company - Minimum 1 director

Q. Which of the following shall be suffixed in the name of section 8 companies?

- a. Pvt. Ltd.
- b. Ltd.
- c. Govt. Ltd
- d. Either (a) or (b)
- e. None of Above

Ans. e, None of Above

Section-8 of companies act ***allows the Central Government to register*** such person or ***association of persons as a company with limited liability without the addition of words 'Limited' or 'Private limited' to its name***, by Issuing license on such conditions as It deems fit.

Q. What is the maximum number of persons required to form a private company?

- a. 50
- b. 100
- c. 200
- d. Unlimited
- e. None of the above

Ans. C. 200,

Section 2(68) “private company” means a company having a minimum paid-up share capital as may be prescribed, and which by its articles,—

- (i) ***restricts the right to transfer its shares;***
- (ii) except in case of One Person Company, ***limits the number of its members to two hundred:***

Provided that where two or more persons hold one or more shares in a company jointly, they shall, for the purposes of this clause, be treated as a single member